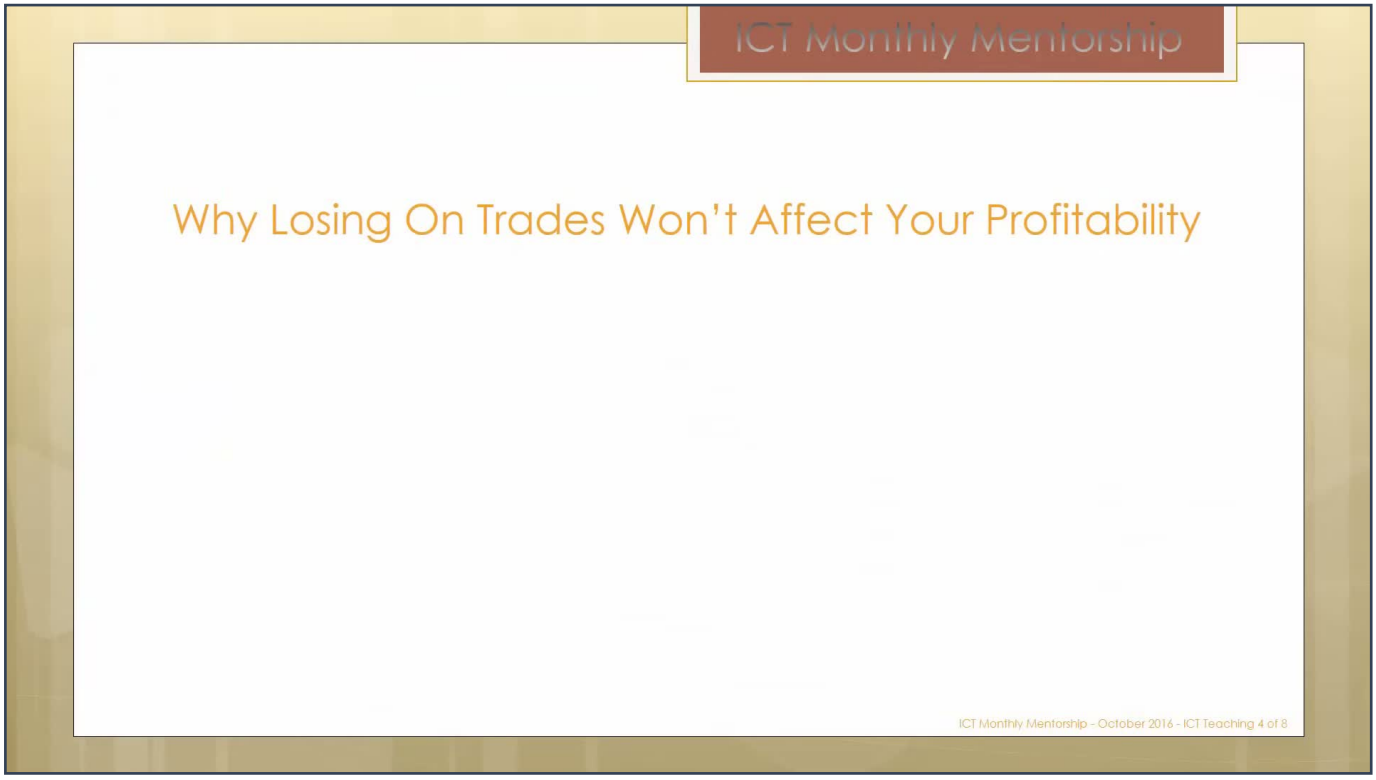
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 02 - NO FEAR OF LOSING



This installment of the ICT Mentorship Month 02 focuses on why losing trades won't affect profitability and the detrimental impact of fear. Trading with fear of taking losses negatively impacts trading. Staying concerned about taking a loss promotes fear-based decision-making.

- Equity managed by traders who cannot take a loss cannot profit long-term.

- Losing is inevitable.

- Fear-based decision-making keeps focus on the adverse.

- Fear-based decision-making fosters trade paralysis or inability to execute efficiently.

Profits are achievable despite taking reasonable losses. The professional equity manager understands that losses are costs of doing business.

- Using sound equity management and high-probability setups yield handsome percentage returns.

- Trading scenarios that encourage potential three to one reward ratios provide an initial foundation.

- Defining trade setups that frame five to one reward to risk or more efficiently cover losses.

FRAMING A TRADE: BULLISH ORDER BLOCK CONCEPT

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A brief overview on framing a trade for context. When looking at price action, we refer to a specific concept known as market setup and framing the risk to reward multiples.

- We'll use a standard bullish order block in the repertoire.

- The market returns to a previous institutional area of buying, noted by the down candle prior to the previous rally higher.

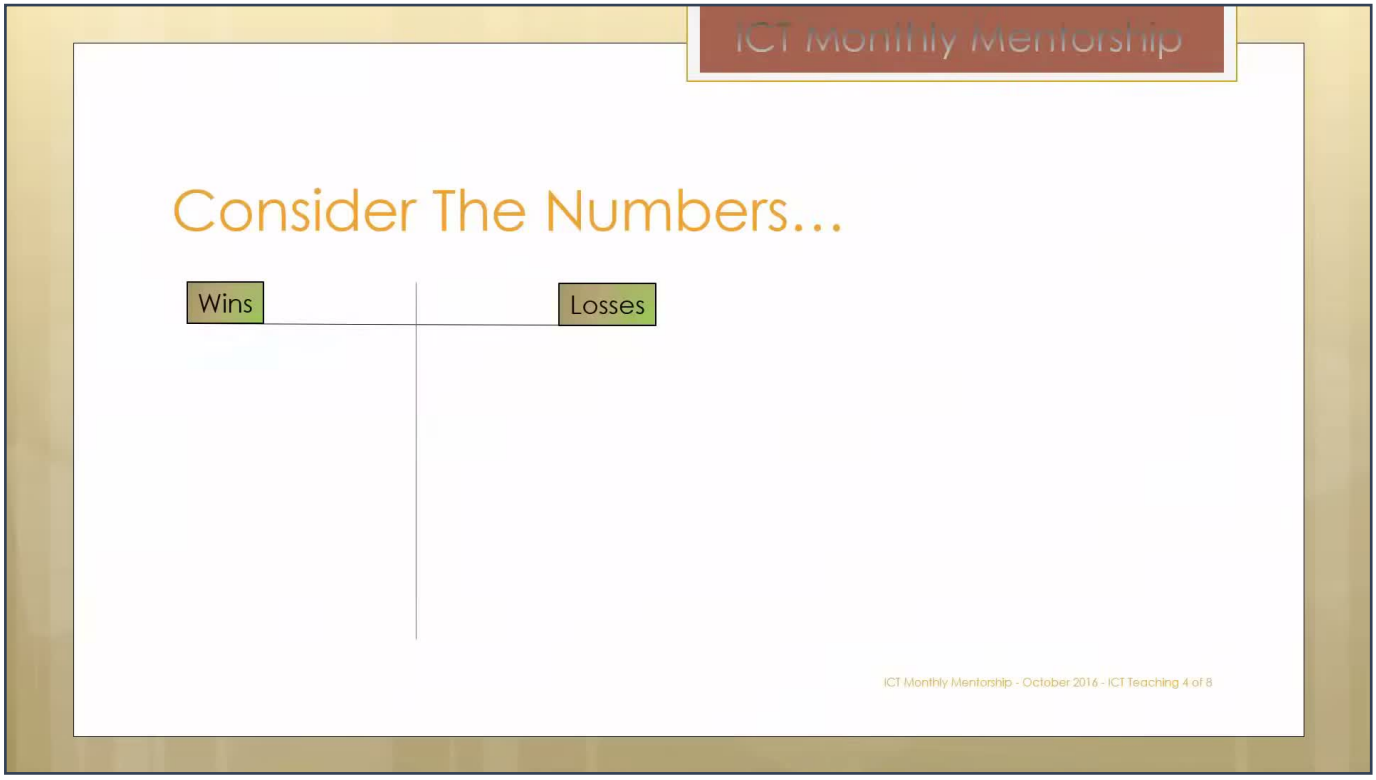
- By noting the down candle, or the bullish order block's high to open, price defines the fair value gap or most probable support.

Specifically, inside that retracement into the order block, there's a mean threshold and a hypothetical long entry on a secondary bullish order block.

- The middle of that down candle is used as a mean threshold, meaning it should not be violated on a closing basis.

- Using 20 pips as the trade stop loss easily frames reward multiples of three to one reward to risk, five to one reward to risk, or even higher.

- For example, targeting nearly an old high, 20 pips above it, gives a nice objective above where price would be retreating to.



Having a simple trade idea based on what has been taught, we can look at setups and how to frame good reward multiples. This helps to frame ideas and justify why taking losing trades doesn't really or shouldn't have that much of an impact on your long-term profitability.

SCENARIO 1: LOW ACCURACY (30 PERCENT) WITH 3:1 REWARD-RISK

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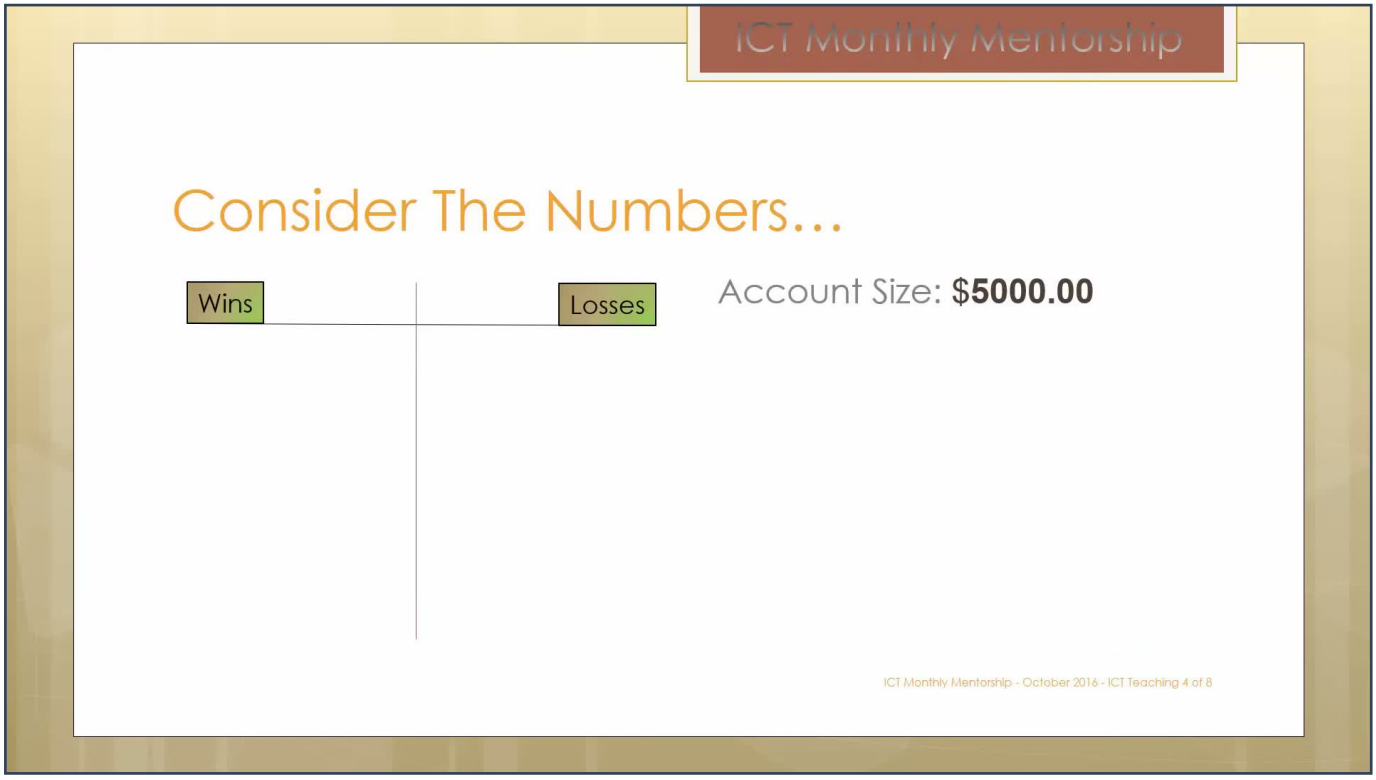

Let's assume a hypothetical account size of 5,000 dollars, starting with a low accuracy rate of 30 percent, meaning losing 70 percent of the time.

- We're looking for trades with a reward to risk ratio of three to one (making three dollars for every one dollar risked).

- Risking one percent of the 5,000 dollar account on each trade (50 dollars).

- Average win trade should be 150 dollars, and average loss should be 50 dollars.

- Focusing on a sample set of 10 trades, with 30 percent winners (3 wins) and 70 percent losers (7 losses):

- Three wins at an average profit of 150 dollars results in a subtotal of 450 dollars.

- Seven losses at an average loss of 50 dollars results in a subtotal of 350 dollars.

- Net profit: 450 dollars (wins) - 350 dollars (losses) = 100 dollars.

- This is a two percent return on the 5,000 dollar account. While seemingly small, two percent compounded monthly is an astronomical return for managed funds.

SCENARIO 2: LOW ACCURACY (30 PERCENT) WITH 5:1 REWARD-RISK

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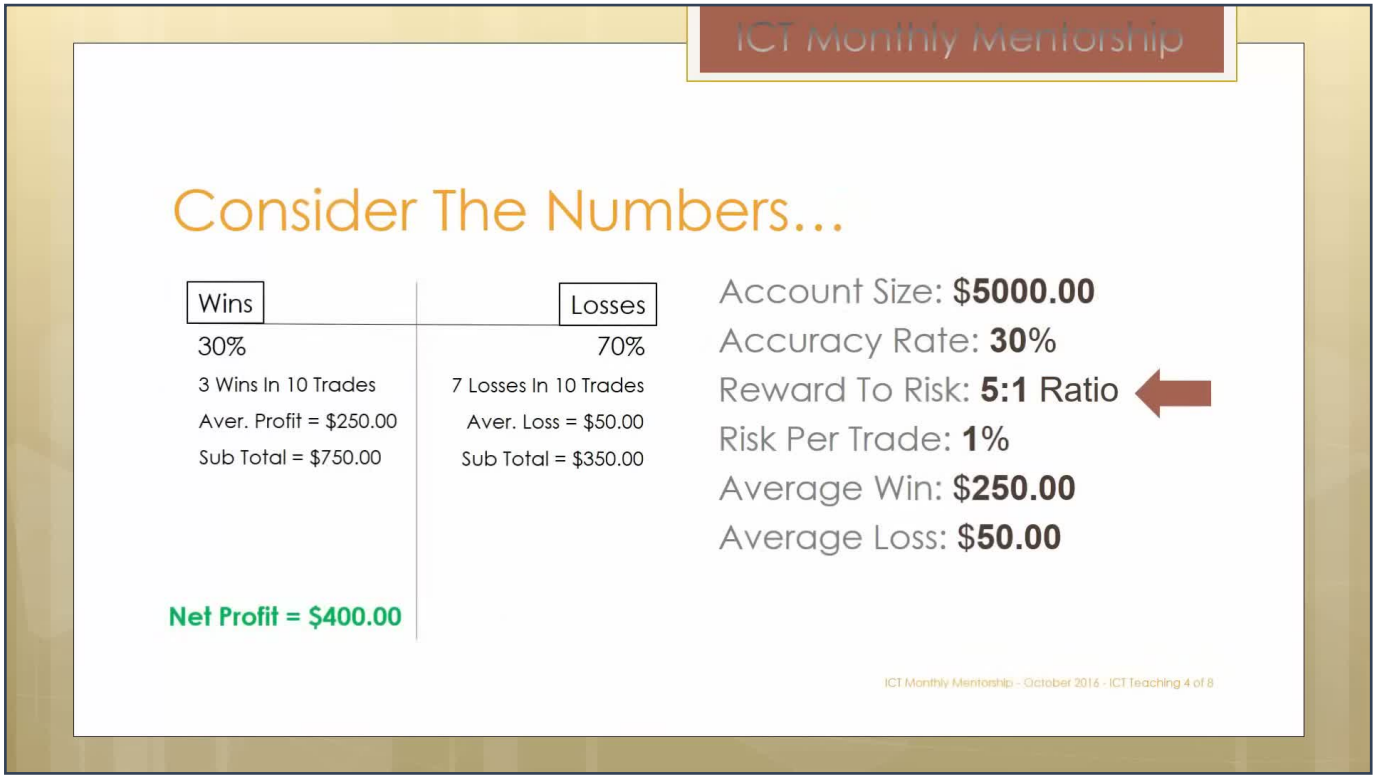

Now, let's focus on reward to risk multiples of five to one (making five dollars for every one dollar risked), keeping the same sample set of 10 trades and 30 percent accuracy.

- The only change is framing trades with a multiple of five to one reward to risk.

- Three winning trades out of 10 in the sample set: average profit becomes 250 dollars (5 times 50 dollars risk).

- Three wins at 250 dollars average profit bring a subtotal of 750 dollars.

- Seven losses in the sample set of 10 trades: average loss is still 50 dollars, totaling 350 dollars.

- Net profit: 750 dollars (wins) - 350 dollars (losses) = 400 dollars.

- This is an eight percent return. For 10 trades over one calendar month, these results with a very low accuracy rate of 30 percent still bring an eight percent return, which is a wonderful monthly rate.

SCENARIO 3: LOW ACCURACY (30 PERCENT) WITH 5:1 REWARD-RISK AND 2 PERCENT RISK

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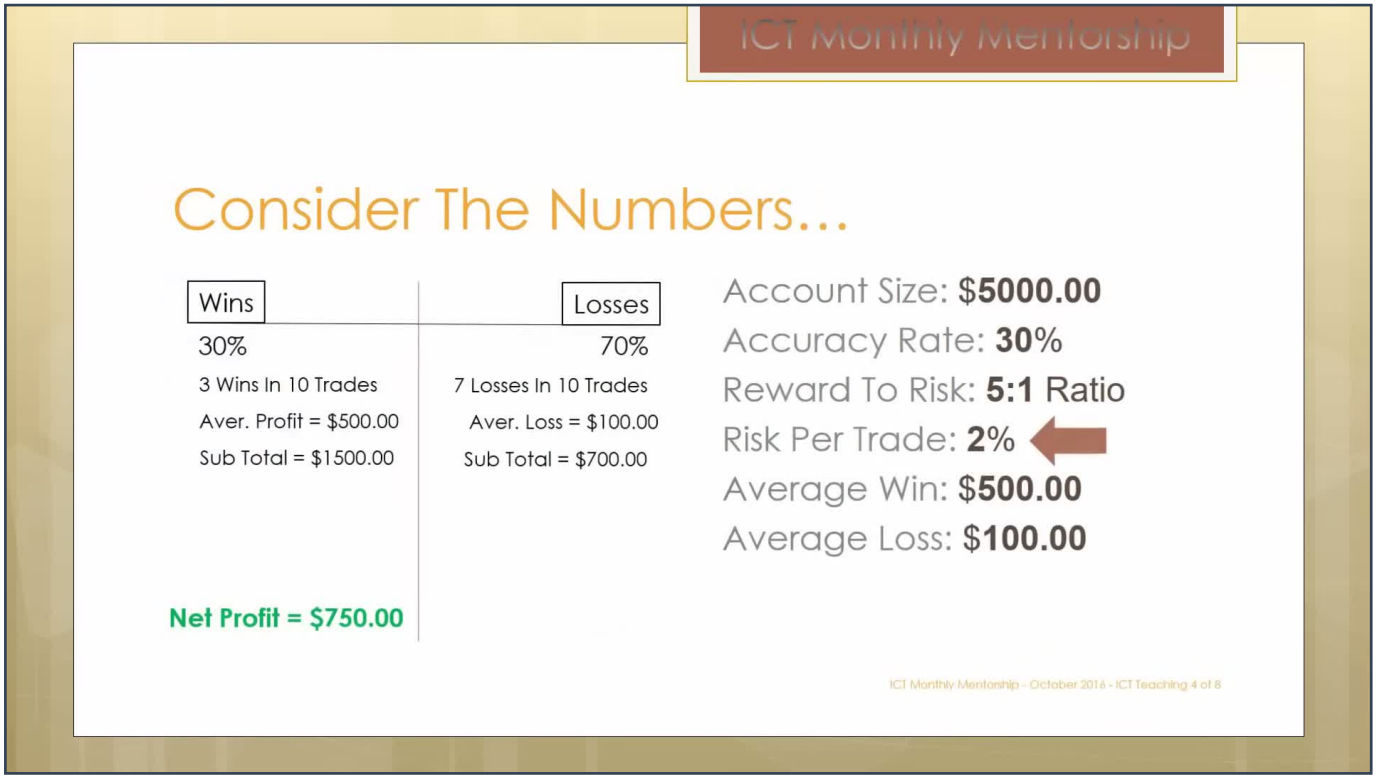


Now, we're going to keep a low accuracy rate of 30 percent with a reward to risk multiple of five to one, but we're risking two percent of our account per trade.

- The average win jumps to 500 dollars (5 times 100 dollars risk).

- The average loss jumps to 100 dollars (2 percent of 5,000 dollars).

- Keeping accuracy at a low 30 percent (losing 70 percent of trades) out of a sample set of 10 trades:

- Three wins at 500 dollars average profit give a subtotal of 1,500 dollars.

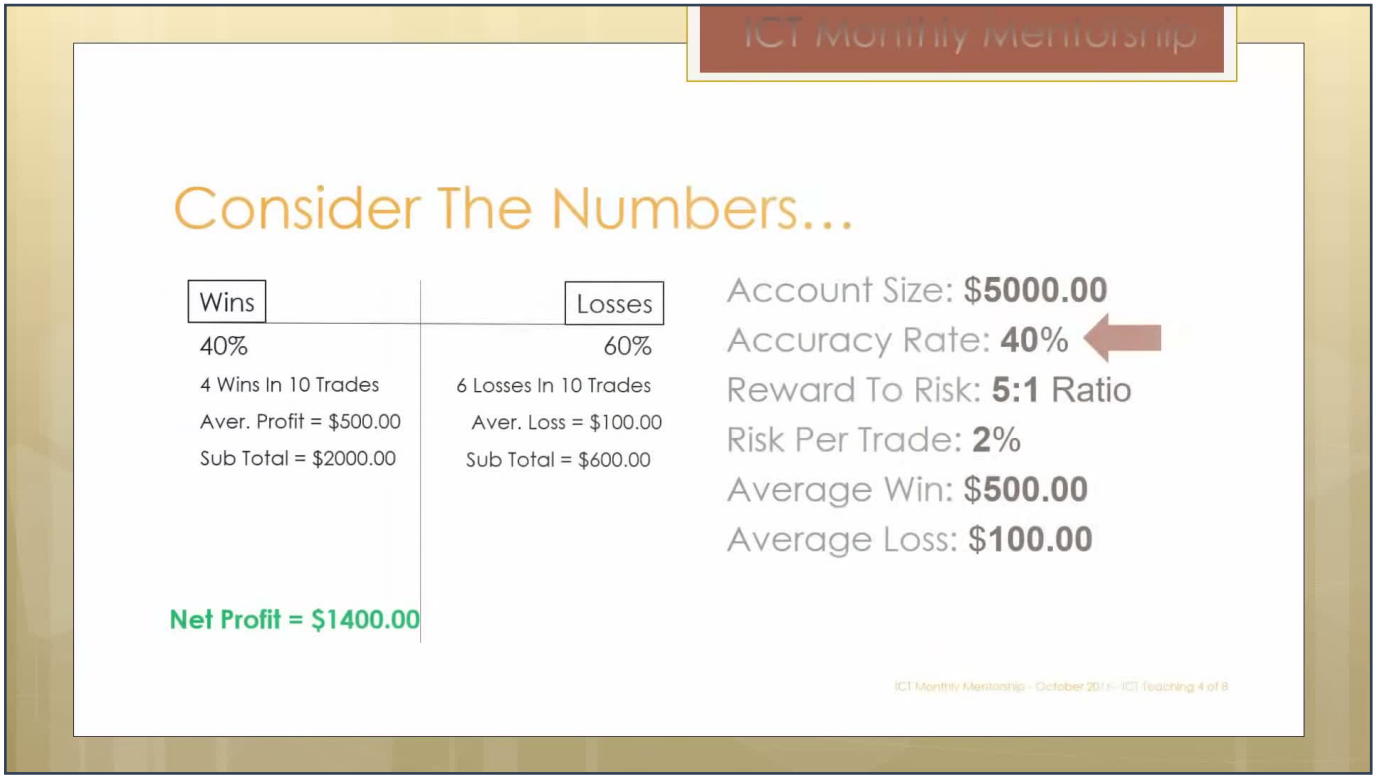
- Seven losing trades at an average loss of 100 dollars (two percent of equity) give a subtotal of 700 dollars.

- Net profit: 1,500 dollars (wins) - 700 dollars (losses) = 750 dollars.

- This is a 15 percent return.

- You can still make ridiculous returns with very low accuracy; high accuracy is not needed. You need the framing of the reward to risk multiples in your favor, without going crazy with risk (e.g., two percent maximum per trade).

SCENARIO 4: INCREASED ACCURACY (40 PERCENT) WITH 5:1 REWARD-RISK AND 2 PERCENT RISK



Now, we increase accuracy to 40 percent, with all other parameters from the previous example remaining the same.

- 40 percent of a sample set of 10 trades means four winning trades.

- Average profit per trade is still 500 dollars.

- Four trades at 500 dollars average profit bring a subtotal of 2,000 dollars.

- Six losing trades out of 10: average loss still remains at 100 dollars per loss, giving a subtotal of 600 dollars.

- Net profit: 2,000 dollars (wins) - 600 dollars (losses) = 1,400 dollars.

- This is a 28 percent return, with just a 10 percent increase in accuracy, maintaining a two percent risk per trade and a five to one reward to risk ratio.

SCENARIO 5: OPTIMAL ACCURACY (50 PERCENT) WITH 5:1 REWARD-RISK AND 2 PERCENT RISK

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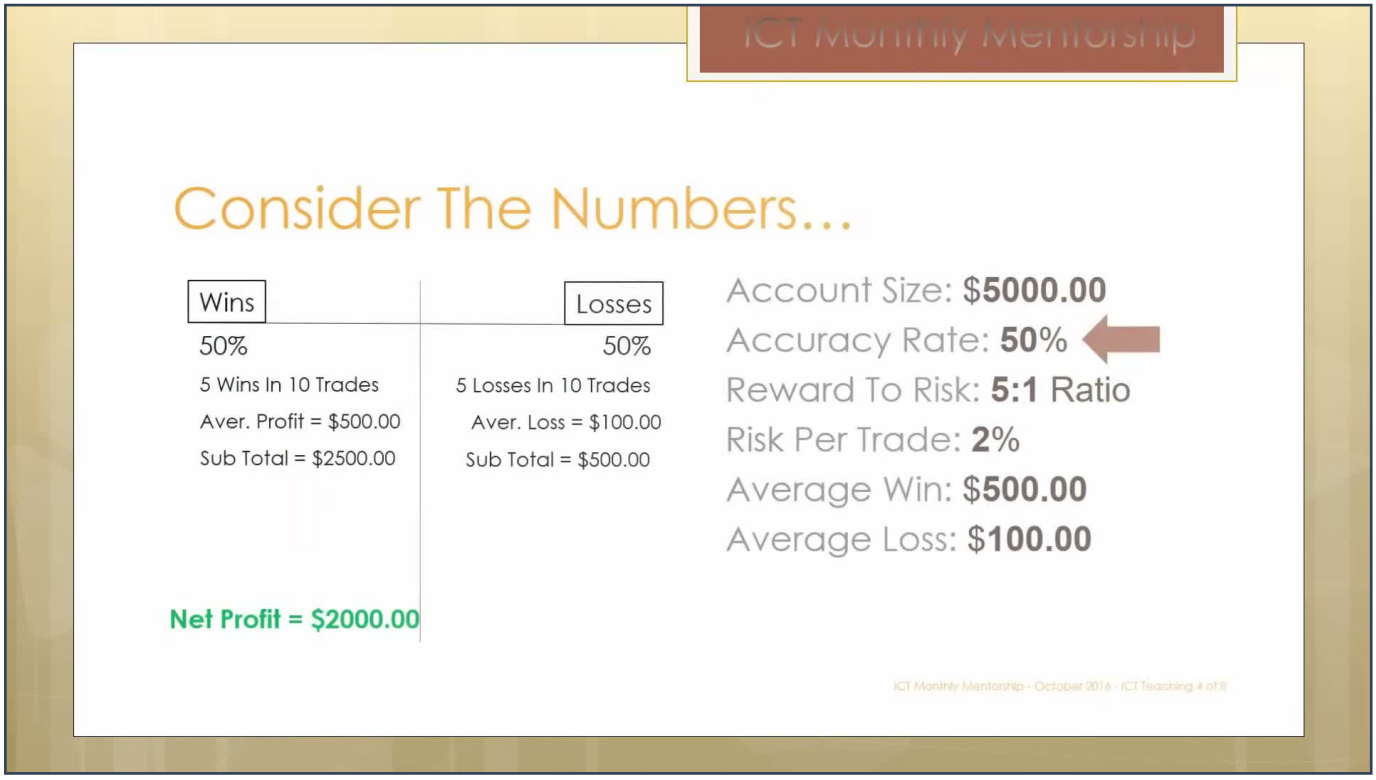

Let's assume our accuracy increases to a 50/50 basis (half trades are winners, half are losers) due to improved trading skills, patience, and adherence to rules.

- On a sample set of 10 trades, the average win stays at 500 dollars, and the average loss stays at 100 dollars.

- Five wins at an average profit of 500 dollars bring a subtotal of 2,500 dollars.

- Five losses out of the 10 sample set trades: average loss of 100 dollars, totaling 500 dollars.

- Net profit: 2,500 dollars (wins) - 500 dollars (losses) = 2,000 dollars.

- This is a 40 percent return on 10 trades.

- Just increasing to a 50/50 hit rate, with five to one reward to risk and two percent risk per trade, shows how quickly multiples jump up without increasing the number of trades or risk per trade.

SCENARIO 6: OPTIMAL TRADING GOALS - 50 PERCENT ACCURACY, 5:1 REWARD RISK, 1 PERCENT RISK

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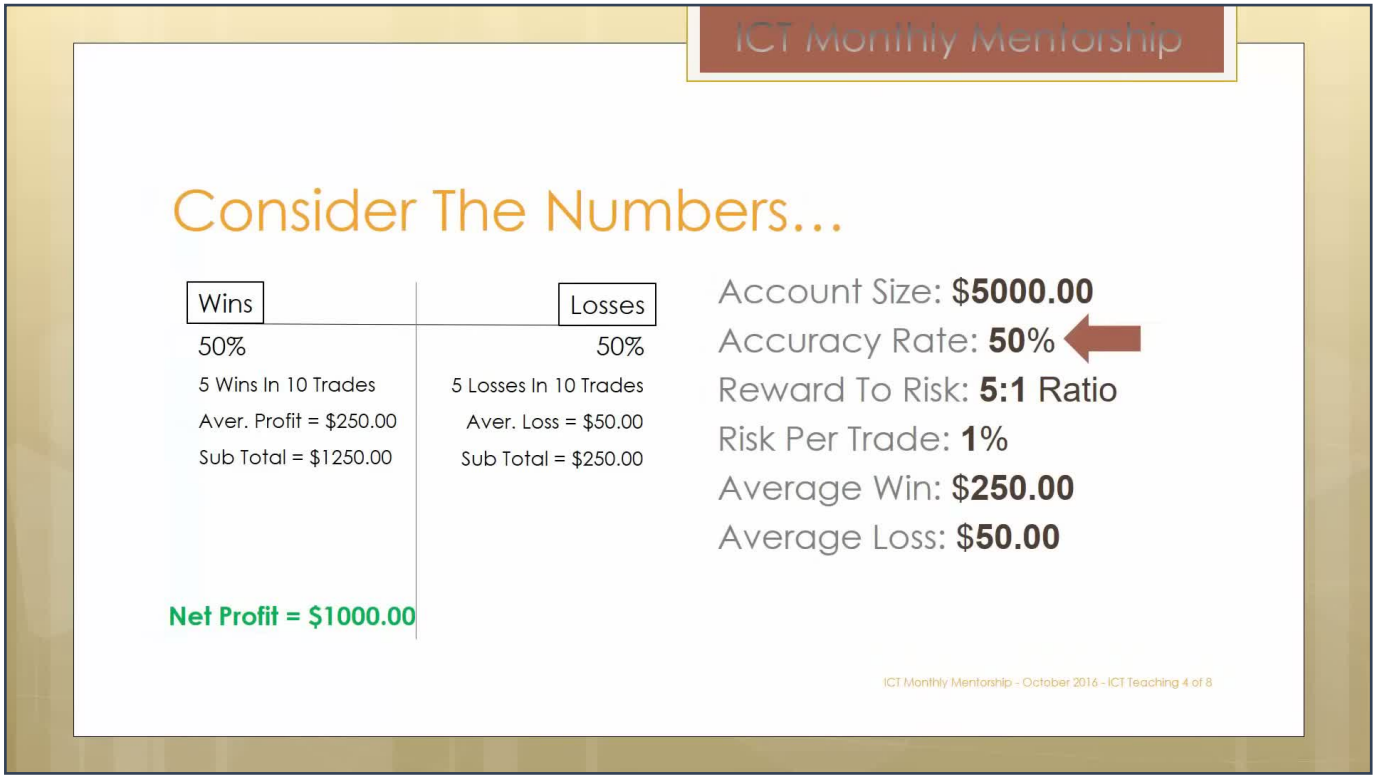


Now, we maintain a 50 percent accuracy rate and a five to one reward to risk model, but lower our risk per trade to one percent.

- The average win drops back down to 250 dollars per win (5 times 50 dollars risk).

- The average loss is down to 50 dollars per loss (1 percent of 5,000 dollar account).

- With a 50/50 hit rate (five winning trades out of 10):

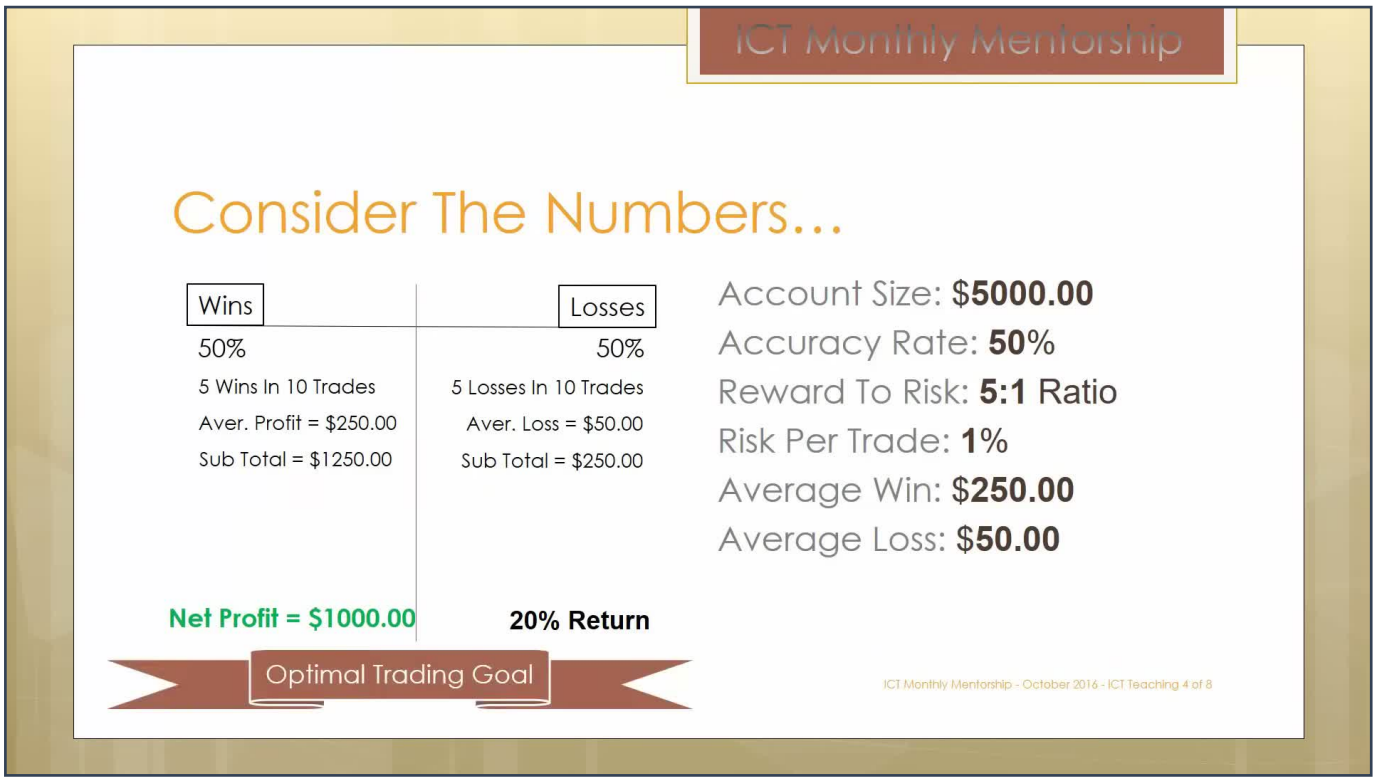
- Five wins at 250 dollars average profit bring a subtotal of 1,250 dollars.

- Five losing trades out of the sample set of 10 trades: average loss of 50 dollars, totaling 250 dollars.

- Net profit: 1,250 dollars (wins) - 250 dollars (losses) = 1,000 dollars.

- This is a 20 percent return.

- You only have to be right half the time, or can afford to be wrong half the time, looking for five to one trades and risking one percent of your account. One percent risk makes millionaires. This 20 percent per month return, with only 10 trades, half of them wrong, all framed on five to one reward risk with one percent risk only, is exactly what everyone would dream of as a rate of return.



This is optimal trading goals, what you should be aspiring to do.

- You are not trading a lot.

- You are not demanding a high rate of success or accuracy.

- You are not pushing the limits on your risk, keeping it low (half the industry standard of two percent maximum per trade).

- Even dropping risk per trade to a half a percent could yield a 10 percent return per month.

- Large funds look for one to two percent per month to give their investors 20-28 percent annual returns.

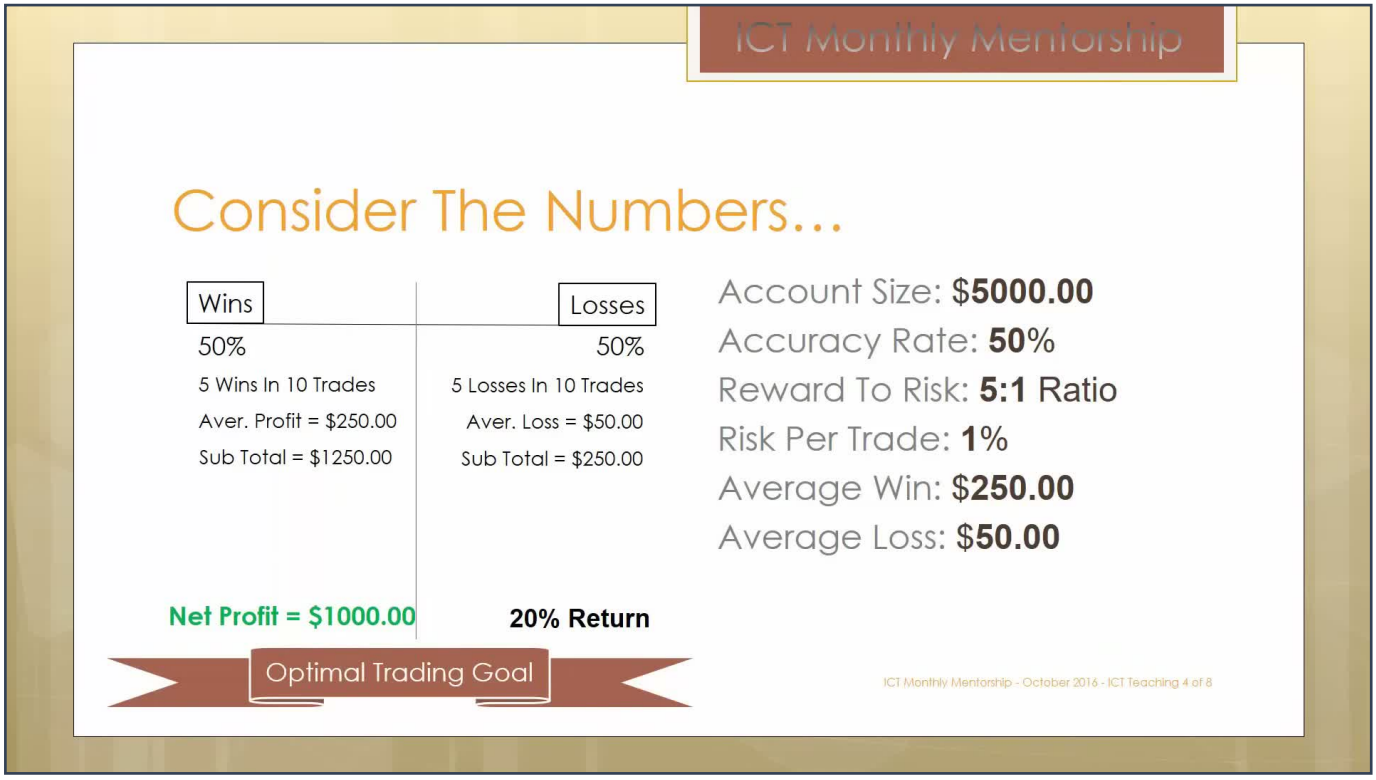
- You don't need astronomical monthly returns to manage other people's money; one to two percent per month is highly sought after.

- You only need three to one reward risk with one percent risk to achieve these fund manager goals.

- With one percent risk, 50 percent accuracy, and five to one reward to risk, it's easy to get a 20 percent monthly yield.

- This provides cushion, allows you to relax and enjoy trading, and doesn't force performance.

- It gives the opportunity to do basically half the year of trading, as some months are not ideal for trading.



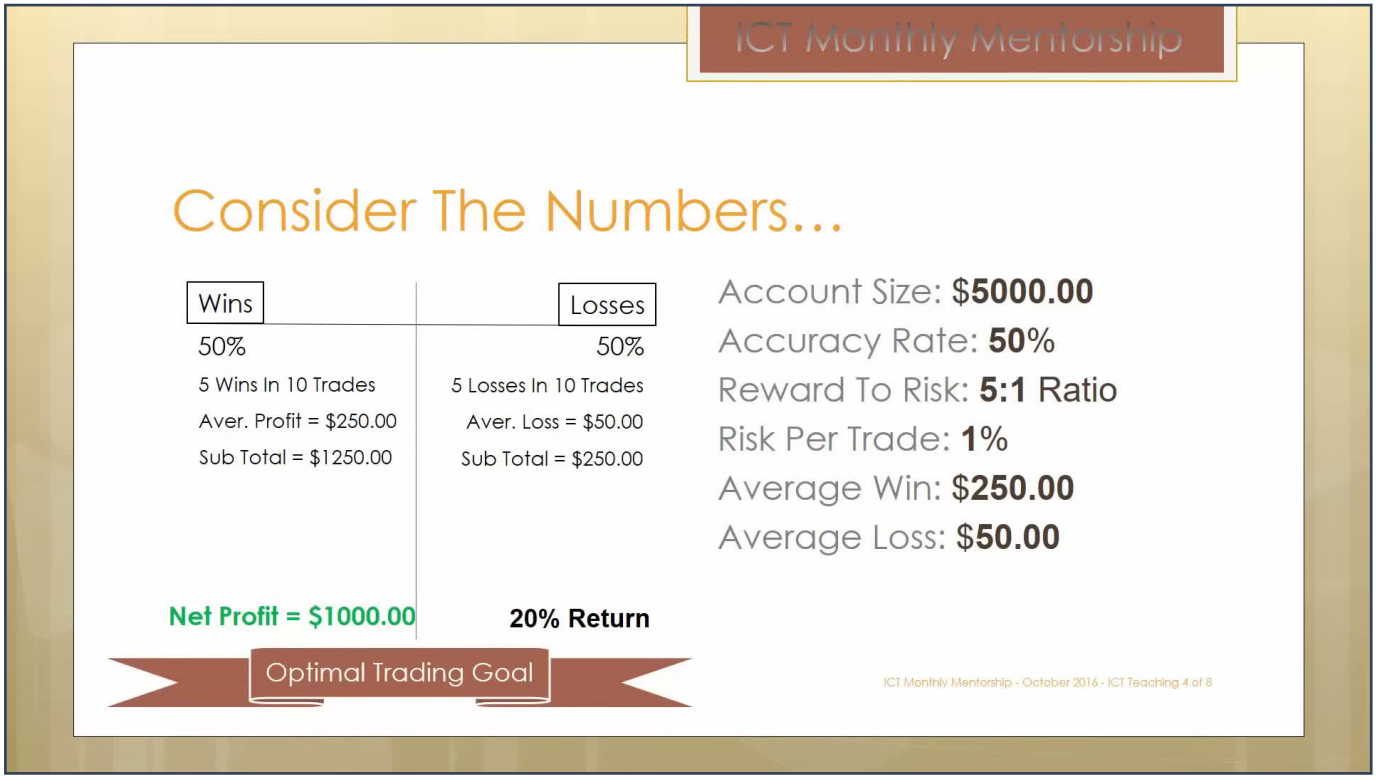
There is no fear that's justified in taking losses. They are all part of this business, part of the game, part of your job as an equity manager. You're going to weather losses; you're going to assume losing trades. That's all cost of doing business.

- No one goes through their career without taking losses; you will have many if you trade for a long time.

- A long list of losses does not dampen or remove the profitability factor that's still available to traders who know how to frame their trades with good multiples of reward to risk.

- Keep risk managed and defined, thinking about how to trade with these parameters.

- Using the example of a 20-pip stop, if one percent of 5,000 dollars is 50 dollars, dividing 50 dollars by the stop loss (e.g., 25 pips) gives your dollar per pip leverage for the trade. This calculation supports the hypothetical numbers presented.



This highlights that you don't need high accuracy (60 percent, 70 percent, 80 percent, or 90 percent). None of that is necessary.

- As time goes on, and you grow in your proficiency and understanding of price action and yourself as a trader, your accuracy rate will by default increase.

- You'll never demand or need for it to be higher than 50/50.